

Research Briefing | Eurozone

Fiscal fundamentals should survive another energy shock

- The improvement in public debt-to-GDP ratios in recent years means Eurozone governments have more room to respond to the current energy shock than to the 2022 crisis. But the fragility of some countries' budget positions, particularly in northern Europe, increases the possibility of difficult fiscal trade-offs if governments need to provide greater support. The agreed ceasefire between the US and Iran lowers the likelihood of this, but the situation remains highly uncertain.
- Stronger fiscal support would mean upward pressure on public debt ratios in many Eurozone countries, although this would come from lower starting points than in 2022 and should be manageable given that we still expect the shock to be temporary. Higher inflation, which would raise nominal GDP and revenue, would also soften the impact on debt.
- Given subdued growth dynamics, cuts to core budgets would be required if governments want to minimise fiscal slippage risks and debt increases. Many countries are already engaged in politically contentious fiscal consolidation and have committed significant public funds to defence, but the political risk of inaction means governments are likely to be fiscally activist.

Since the start of the US-Israel war with Iran, several Eurozone governments have pledged funds to protect households and firms from higher energy bills. This support is far smaller than that provided after Russia's invasion of Ukraine in 2022. But should the conflict last longer than expected or result in lasting damage to energy infrastructure, governments may find themselves needing to increase fiscal support, particularly given impending elections in France, Italy, and Spain. While the agreed ceasefire between the US and Iran lowers the likelihood of this, the prospect of further fiscal support cannot be ruled out.

Here, we discuss the ability of Eurozone countries to increase their fiscal support if the downside scenario materialises. Public finances are in better shape than they were during the 2022 energy crisis, given the broad improvement in public debt-to-GDP ratios (**Table 1**). But day-to-day budget positions remain fragile in many economies, increasing the likelihood that governments will need to make difficult fiscal trade-offs.

Table 1: Lower debt ratios give countries fiscal headroom despite poor budget positions

Share of GDP, change from Q4 2021 to Q3 2025				
	Government spending	Government balance	Public debt	Debt-stabilising primary balance gap*
Greece	-5.6	7.5	-47.6	7.5
Malta	-3.2	5.6	-3.3	5.6
Italy	-4.9	4.8	-8.0	4.9
Spain	-2.0	2.0	-12.5	3.5
Latvia	4.4	2.4	-0.7	2.5
Slovenia	1.1	1.9	-7.2	2.0
Austria	2.4	-2.1	1.3	1.3
Germany	0.2	-1.1	-4.9	0.8
Portugal	-1.8	0.3	-26.3	0.8
Slovakia	2.3	1.7	2.1	0.4
Ireland	-1.4	0.2	-19.6	0.2
Bulgaria	-1.9	6.6	4.6	0.1
Finland	3.7	-3.2	13.7	-0.2
Netherlands	0.1	-0.6	-8.1	-0.5
France	-0.8	-1.1	4.9	-1.2
Estonia	4.9	-1.1	4.5	-1.7
Belgium	2.0	-2.4	-1.6	-2.1
Cyprus	1.2	-0.6	-35.9	-2.4
Croatia	6.4	-3.5	-21.0	-2.7
Lithuania	7.4	-3.7	-2.6	-4.6
Luxembourg	8.3	-4.3	3.7	-4.6

*Gap between actual primary balance and the balance consistent with debt stability

Sources: Oxford Economics, Haver Analytics

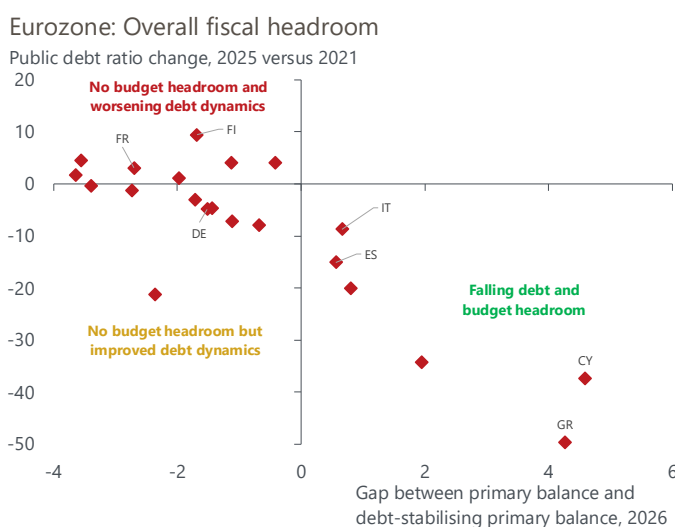
Fiscal fundamentals should survive another energy shock

Budget positions are fragile in some countries, but lower debt gives some headroom

There are different ways to assess how able national governments are to deploy fiscal support compared with the previous crisis. Overall, the health of primary budgets is quite mixed, not only across the Eurozone but also compared with just before the previous energy price shock in 2022. The main improvement has been in public debt positions, with nominal GDP growth helping to lower debt ratios despite still often elevated deficits.

Nevertheless, we think that most countries have very little wiggle room to avoid a short-term rise in debt ratios due to the fragility of their current budget positions. The key measure here is the difference between the government's primary balance (the government balance excluding interest payments) and the primary balance that is consistent with a stable public debt ratio. In 2026, we expect only a handful of economies to record a primary balance greater than what's needed to keep public debt stable (**Chart 1**). These include Spain and Italy, but smaller Eurozone economies generally have the most generous fiscal headroom. Many of them have much stronger near-term growth dynamics than their larger counterparts.

Chart 1: Budget headroom is lacking, although public debt positions are more favourable



Sources: Oxford Economics, Haver Analytics

But the broad-based improvement in public debt ratios is an important offsetting factor. Although few countries would be able to avoid a rise in public debt, it would come from a much lower starting base than several years ago. Markets have acknowledged the improvement in debt positions, with [yield compression](#) further reducing the debt-servicing burden. Risks are tilted to the downside given government borrowing costs have increased in recent weeks as investors demand compensation for higher inflation, but we don't think bond markets will be overly rattled if Eurozone governments need to act further.

The nature of the energy shock this time around also suggests that pressure on public finances could be more transitory. The 2022 energy price shock was a structural hit to Europe's energy supply as markets priced in a permanent loss of Russian gas supply. Significant fiscal interventions, structurally weaker growth in energy-dependent economies, and rising ECB interest rates meant significant repricing of Eurozone public debt amid long-term fiscal sustainability concerns. A permanent disruption to Europe's oil and natural gas flows from the Middle East is only a tail risk, given our baseline expectation that they will eventually return to normal.

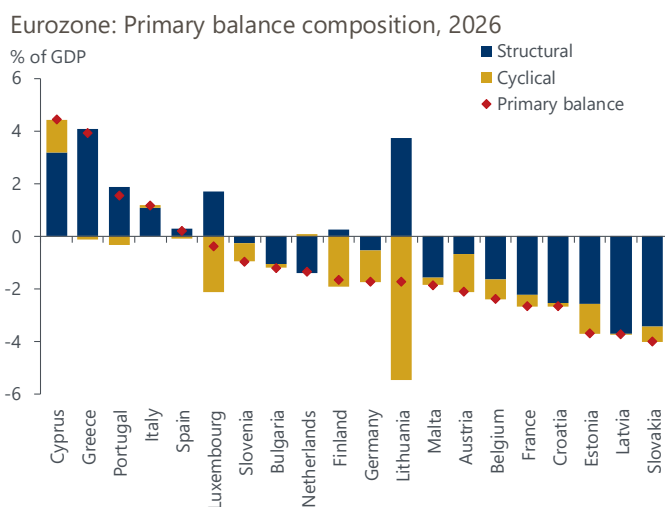
Weak growth dynamics raise the likelihood of politically contentious fiscal trade-offs

Despite the improvement in public debt ratios, the fragile primary budget positions and poor near-term growth dynamics of several European economies mean that uncomfortable trade-offs might become necessary if governments choose to ramp up fiscal support. Our forecasts for primary balances this year suggest GDP growth will contribute negatively to many countries' budget positions (**Chart 2**). This is because the already weak cyclical environment raises government spending through automatic stabilisers and lowers tax revenue by increasing unemployment. When we strip out the impact of the business cycle

Fiscal fundamentals should survive another energy shock

and look at the 'core' aspect of government budgets, we also expect these to be broadly in the red, even with the improvement of recent years.

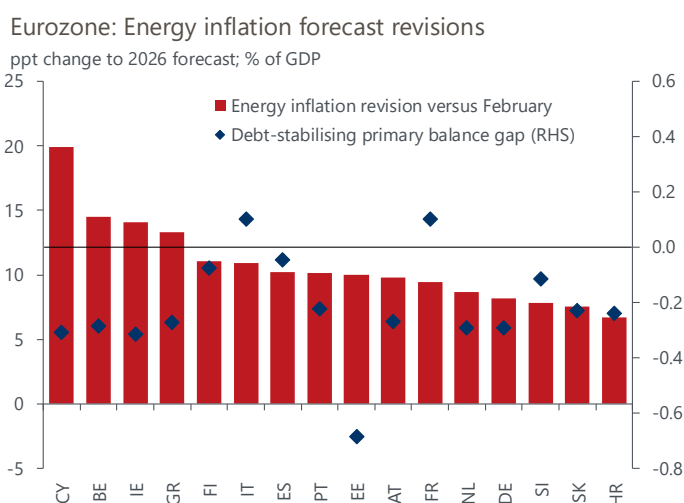
Chart 2: Larger fiscal support packages imply uncomfortable trade-offs for many countries



Sources: Oxford Economics, Haver Analytics

Another problem for national governments is the perceived cost of inaction. Given that higher energy prices have a disproportionate impact on low-income households and firms that are particularly energy dependent, a much more severe energy shock would be hard for governments to ignore. The political fallout seen after the significant inflation shock of 2022-2023 means governments have every incentive to be fiscally assertive if the crisis worsens, especially with elections in Spain, France, and Italy looming next year. The revisions we've made to our energy inflation forecasts compared with our February baseline are significant, and we expect the five countries with the largest revisions to run deficits that are too large for debt stability this year (**Chart 3**). Intervening would not come without a cost, but the price of acting may be too steep.

Chart 3: Countries with large forecast revisions have virtually no budget headroom



Sources: Oxford Economics, Haver Analytics

With [fiscal slippage risks](#) already elevated in some countries prior to the war, GDP growth has now become even less of a tailwind for government budgets compared with at the start of the year. This means that any extra funding for energy support measures will mean cuts in other budget areas if governments want to achieve their targets. Given the difficult budget positions of some countries and higher debt servicing costs, governments will be keen to avoid signalling to bond markets a resurgence of fiscal indiscipline. But reshuffling components of core budgets to accommodate higher fiscal support would be politically

Fiscal fundamentals should survive another energy shock

contentious, and governments may struggle to find the necessary wiggle room given commitments to increase defence spending, which already represent a significant portion of the change in government budgets this year. Therefore, we think governments will err on the side of accepting temporary fiscal slippage rather than rigidly sticking to previous targets.